

Banks - China

Weekly Wrap: Mixed macro, hawkish Fed, and slower loan growth the new norm

Industry Overview

Sector performance

H-share bank sector was down 5.1% (vs HSI -3.2%). MSB (-2.0%) outperformed, while ABC (-6.4%) underperformed. Sector P/B: 0.54x, P/E: 5.7x, dividend yield: 5.4%. **A-share bank sector** decreased 6.9% (vs CSI300 +3.4%), with CSRB (-3.6%) leading and CQRB (-9.0%) lagging. Sector P/B: 0.63x, P/E: 6.8x, dividend yield: 4.6%. Southbound investors net bought CQRB and ABC, net sold ICBC most among China banks.

Weekly Market Review

Macro data were mixed in May: 5M26 FAI fell 4.1% YoY (vs. -1.6% in 4M) and retail sales declined 0.6% YoY (vs. +0.2% in Apr), while industrial production rose 4.5% YoY (vs. 4.1%) and the surveyed urban unemployment rate edged down to 5.1%; meanwhile, the Fed took a hawkish stance, weighing on risk appetite. **Monetary:** PBOC Pan said slower but higher-quality loan growth may become the new norm. Private-sector relending balance tops RMB600bn. The average rate on new corporate loans fell to 3.0%, down 25bp YoY in May. **Liquidity:** The PBOC's net injection edged down to RMB823.8bn this week. China was reportedly ordering large banks to curb interbank fund lending, with net interbank lending down by more than RMB2.6tn this month to around RMB1tn. **FX:** SAFE said foreign investors were net buyers of onshore stocks and bonds in May. The PBOC launched a repo facility for foreign central bank-type institutions and narrowed the temporary overnight repo corridor to 50bp. SAFE also signaled broader FDI reform and a new batch of QDII quotas, while 26 institutions signed with CBETS to expand digital RMB cross-border payment services. **A/H shares:** The A-share investor base surpassed 250mn. The CSRC is set to further open the STAR Market to unprofitable AI companies and support the near-term launch of active ETFs. Severe deviation from stated investment mandates will become a negative assessment item for thematic public funds from Dec 1, 2026. HKEX's first-half IPO fundraising ranks No. 2 globally, while Hong Kong stated that alignment with the 15th Five-Year Plan does not replace the free market. **Financials:** the NFRA said it will strengthen cross-border risk response capacity and accelerate revisions to the banking and insurance laws. The internet lending association proposed a bailout fund with annual investment of no less than RMB1.5bn. Six regulators issued rules on financial data handling, and the social security fund opened its first futures account for pension assets. Banks are accelerating their exit from long-term deposits (including 2-year time deposits) amid a prolonged rate downtrend, while over 60% of universal life products posted sub-3% May settlement rates. More banks were approved to issue tier-2/perpetual bonds in June, and more than 100 village banks have been merged this year. The traditional Big Six life insurers were named among the first Southbound Connect investors. **Property** signals improved modestly, with the 70-city average new-home price decline narrowing for the first time in eight months. **Company news:** ICBC reshuffled management, CMB launched China's first token-based perks credit card, CITIC Bank secured approval for Lu Tianguai as president, and banks are accelerating their push into hard-tech investment, including in Enflame and CanSemi Semiconductor IPOs.

>> Employed by a non-US affiliate of BofAS and is not registered/qualified as a research analyst under the FINRA rules.

Refer to "Other Important Disclosures" for information on certain BofA Securities entities that take responsibility for the information herein in particular jurisdictions.

BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Refer to important disclosures on page 12 to 13.

12985524

Timestamp: 19 June 2026 02:51AM EDT

19 June 2026

Equity
China
Banks-Multinational

Table of Contents

Performance and valuation	2
A-H share premium	4
Stock Connect Holdings	4
Relative valuation	5
Interest rates and NCDs	8
Convertible bond tracker	9
Ping An's holding in H-share banks	9
China CITIC Financial AMC's holding in H-share banks	10
Ex dividend schedule	10
Bank abbreviations	11

Wenqing Han, CFA >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 5032
wenqing.han@bofa.com

Winnie Wu >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 3058
winnie.wu@bofa.com

Emma Xu >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 8165
emma.xu@bofa.com

PBOC: People's Bank of China
NFRA: National Financial Regulatory Administration
CSRC: China Securities Regulatory Commission
WMP: Wealth Management Product
SAFE: State Administration of Foreign Exchange
QDII: Qualified Domestic Institutional Investor
CBETS: China Foreign Exchange Trade System

See additional abbreviations at the end of the report

Performance and valuation

Exhibit 1: China/HK banks: price performance and 12-month forward valuation

MSB/CSRB/Stanchart outperformed, while ABC/CQRB-A/BEA underperformed among H-share China banks/A-share China banks/HK banks, respectively

		Price performance								12mth forward valuation		
H-Share CN Banks	BBG ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD	P/B	P/E	Dividend yield
ABC	1288 HK	322.7	5.67	-6.4%	-6.6%	+9.3%	+5.7%	+9.2%	+0.6%	0.55x	5.8x	5.2%
BOC	3988 HK	260.0	5.27	-4.7%	+1.2%	+12.6%	+20.3%	+17.9%	+18.2%	0.51x	5.9x	5.3%
BoComm	3328 HK	85.2	7.28	-5.7%	+0.4%	+6.1%	+12.0%	+2.9%	+12.9%	0.47x	5.8x	5.5%
CCB	939 HK	295.5	8.62	-4.0%	-1.6%	+5.9%	+14.6%	+15.6%	+12.1%	0.53x	5.5x	5.5%
ICBC	1398 HK	361.1	6.85	-5.1%	+0.0%	+7.2%	+15.1%	+22.5%	+12.0%	0.52x	5.5x	5.6%
PSBC	1658 HK	84.5	4.95	-4.8%	-2.0%	+0.0%	-2.7%	-6.3%	-4.5%	0.48x	5.8x	5.4%
CEB	6818 HK	26.4	3.27	-4.4%	+4.5%	-1.2%	-8.9%	-11.9%	-7.1%	0.29x	4.6x	6.6%
CMB	3968 HK	141.2	47.16	-4.5%	+1.2%	-4.3%	-4.7%	-5.5%	-8.6%	0.81x	6.7x	4.8%
CNCB	998 HK	57.6	7.27	-6.0%	-8.2%	-0.6%	+7.2%	+1.5%	+7.7%	0.43x	4.9x	6.3%
MSB	1988 HK	21.9	3.46	-2.0%	-0.3%	-11.7%	-15.4%	-18.9%	-12.0%	0.21x	4.6x	6.4%
CQRB	3618 HK	10.2	6.29	-6.0%	-4.7%	+2.0%	+8.7%	+1.3%	+8.5%	0.42x	4.5x	6.7%
Weighted average				-5.1%	-1.6%	+6.1%	+10.2%	+11.2%	+7.4%	0.54x	5.7x	5.4%
A-share CN Banks	BBG ticker	Market cap (USD bn)	Price (RMB)	1W	1M	3M	6M	1Y	YTD	P/B	P/E	Dividend yield
ABC	601288 CH	322.7	6.37	-6.3%	-3.5%	-3.6%	-14.5%	+17.5%	-15.4%	0.72x	7.6x	4.0%
BOC	601988 CH	260.0	5.78	-8.1%	-0.2%	+5.1%	+1.4%	+7.1%	+0.9%	0.64x	7.6x	4.2%
BoComm	601328 CH	85.2	6.68	-6.4%	+0.3%	-3.2%	-8.5%	-12.3%	-7.9%	0.50x	6.2x	5.1%
CCB	601939 CH	295.5	9.92	-7.3%	+1.6%	+7.5%	+8.3%	+9.8%	+6.9%	0.71x	7.4x	4.1%
ICBC	601398 CH	361.1	7.16	-8.0%	-0.4%	-0.9%	-8.3%	+5.0%	-7.6%	0.63x	6.7x	4.6%
PSBC	601658 CH	84.5	4.86	-6.5%	-2.2%	-5.3%	-8.6%	-9.7%	-8.8%	0.55x	6.7x	4.7%
CEB	601818 CH	26.4	3.08	-4.6%	-0.3%	-7.5%	-10.7%	-20.9%	-8.9%	0.32x	5.0x	6.0%
CMB	600036 CH	141.2	37.26	-5.3%	-0.6%	-6.7%	-9.8%	-13.0%	-9.2%	0.74x	6.1x	5.2%
CNCB	601998 CH	57.6	7.27	-5.3%	-5.7%	-5.6%	-0.7%	-10.0%	-3.1%	0.50x	5.7x	5.4%
MSB	600016 CH	21.9	3.48	-4.1%	-2.5%	-11.0%	-11.5%	-23.3%	-9.1%	0.25x	5.4x	5.5%
CIB	601166 CH	54.2	17.32	-6.9%	+2.0%	-6.1%	-12.5%	-19.8%	-13.0%	0.41x	4.7x	6.4%
SPDB	600000 CH	44.7	9.09	-6.0%	+0.1%	-12.3%	-22.8%	-26.7%	-26.9%	0.38x	5.8x	5.0%
PAB	000001 CH	30.2	10.52	-6.4%	+0.1%	-0.9%	-6.6%	-5.8%	-4.8%	0.40x	4.8x	5.7%
BOCD	601838 CH	11.7	18.66	-7.0%	+1.5%	+7.6%	+12.1%	-3.4%	+15.8%	0.77x	5.5x	5.4%
BOHZ	600926 CH	16.8	15.64	-5.0%	-2.1%	-7.1%	+2.0%	-0.0%	+4.1%	0.70x	5.1x	5.0%
BOJS	600919 CH	30.4	11.22	-5.6%	+1.6%	+2.8%	+9.3%	+0.4%	+11.4%	0.66x	5.5x	5.7%
BONB	002142 CH	30.0	30.78	-5.9%	-1.0%	+1.4%	+6.9%	+20.3%	+9.6%	0.78x	6.1x	4.4%
BONJ	601009 CH	19.8	10.85	-6.5%	+0.5%	-4.0%	-4.5%	-2.9%	-3.3%	0.64x	5.5x	5.6%
BOSZ	002966 CH	5.1	7.73	-6.3%	-8.1%	-6.4%	-7.0%	-8.5%	-6.8%	0.59x	5.9x	5.4%
CQRB	601077 CH	10.2	6.26	-9.0%	-7.1%	-8.7%	+2.1%	-7.8%	+1.9%	0.48x	5.2x	5.8%
CSRB	601128 CH	3.4	6.24	-3.6%	-2.9%	-3.0%	-3.4%	-5.8%	-0.8%	0.62x	4.9x	4.4%
SHRB	601825 CH	11.7	8.20	-7.7%	-5.7%	-7.9%	-12.4%	-13.3%	-11.7%	0.57x	6.3x	5.5%
Weighted average				-6.9%	-0.8%	-0.8%	-5.1%	+2.4%	-5.3%	0.63x	6.8x	4.6%
HK Banks	BBG ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD	P/B	P/E	Dividend yield
BOCHK	2388 HK	64.9	48.14	-0.2%	+4.4%	+17.0%	+26.5%	+45.2%	+22.9%	1.32x	11.8x	5.0%
BEA	23 HK	4.3	12.74	-5.7%	-7.9%	-7.2%	-2.7%	+16.8%	-2.9%	0.31x	7.4x	6.6%
HSBC	5 HK	326.7	149.00	+4.3%	+7.9%	+17.1%	+29.7%	+70.2%	+25.7%	1.70x	11.0x	4.6%
StanChart	2888 HK	59.1	211.00	+5.7%	+7.3%	+26.7%	+17.4%	+75.5%	+14.4%	1.19x	10.6x	2.9%
Weighted average				+3.8%	+7.2%	+18.1%	+27.3%	+66.8%	+23.6%	1.57x	11.0x	4.4%
Major indices	BBG ticker	Price		1W	1M	3M	6M	1Y	YTD			
MSCI China	MXCN Index	74.5		-0.6%	-5.7%	-8.1%	-9.9%	-1.5%	-10.2%			
HSI	HSI Index	23,925		-3.2%	-6.8%	-8.1%	-6.2%	+0.9%	-6.7%			
HK Financials	H-FIN Index	21,005		-4.8%	-3.2%	-1.6%	-1.4%	+7.8%	-2.3%			
Hang Seng TECH	HSTECH Index	4,604		-2.1%	-5.0%	-9.9%	-15.0%	-11.7%	-16.5%			
China Internet ETF	KWEB US	25.4		-4.0%	-9.9%	-16.6%	-24.9%	-21.7%	-25.5%			
SSE50	SSE50 Index	2,929		+1.3%	-0.2%	-1.1%	-2.3%	+9.3%	-3.4%			
CSI300	SHSZ300 Index	4,942		+3.4%	+2.2%	+6.1%	+8.5%	+27.5%	+6.7%			
CSI500	SH000905 Index	8,673		+7.0%	+1.4%	+7.1%	+22.1%	+50.9%	+16.2%			
S&P500	SPX Index	7,420		+2.1%	+0.2%	+10.5%	+10.4%	+24.0%	+8.4%			
NASDAQ	CCMP Index	26,022		+3.4%	-0.8%	+15.8%	+14.7%	+33.3%	+12.0%			
US banks	BKX Index	180.9		+4.3%	+11.1%	+21.1%	+10.5%	+41.4%	+10.2%			
EU banks	SX7P Index	399.7		+10.2%	+11.7%	+18.4%	+15.6%	+47.6%	+12.5%			

Source: Bloomberg; as of June 18, except for US/EU ones which were as of June 17, four trading days for CN/HK this week. BBG = Bloomberg. M = month. W = week. Y = year.

Exhibit 2: AIA/PICC Group-A/China Merchants Securities/China Merchants Securities-A/Futu outperformed, while China Pacific/China Pacific-A/China Galaxy Securities/China Galaxy Securities-A/Lexin underperformed

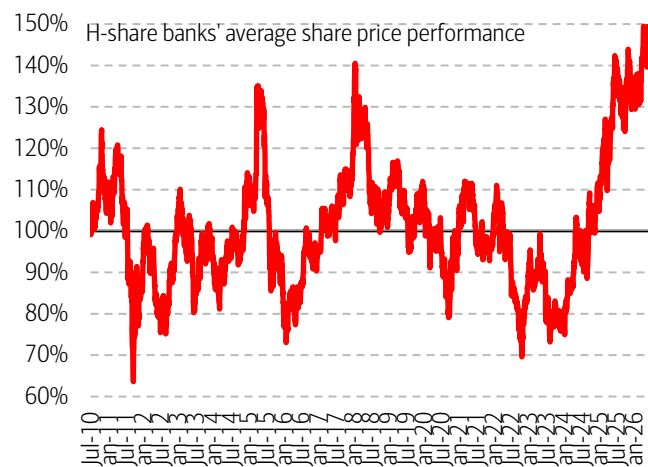
China insurance, brokers, and diversified financials' price performance

				Price performance					
H-Share Insurance	Bloomberg ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD
China Life	2628 HK	130.3	28.02	-7.0%	-5.8%	-3.6%	-1.5%	+59.8%	+2.3%
China Pacific	2601 HK	40.4	28.50	-9.9%	-9.7%	-14.3%	-17.2%	+15.2%	-15.5%
New China Life	1336 HK	24.3	49.80	-3.4%	+1.3%	-6.9%	-4.9%	+35.7%	-8.4%
PICC Group	1339 HK	40.6	5.16	-5.1%	-1.9%	-18.2%	-24.7%	-5.6%	-23.6%
PICC P&C	2328 HK	42.7	15.05	-3.2%	-2.5%	-4.3%	-8.8%	+6.8%	-8.0%
Ping An	2318 HK	128.9	53.85	-5.8%	-9.9%	-12.1%	-14.5%	+20.6%	-14.5%
China Taiping	966 HK	8.9	19.49	-6.5%	-9.0%	-12.7%	+2.6%	+39.4%	+4.3%
Zhong An	6060 HK	2.2	10.15	-4.9%	-7.7%	-30.0%	-33.0%	-50.1%	-36.9%
AIA	1299 HK	98.3	73.70	-1.1%	-13.5%	-11.3%	-7.8%	+10.9%	-6.2%
Weighted average				-5.2%	-7.7%	-9.7%	-9.8%	+25.8%	-8.4%
A-share Insurance	Bloomberg ticker	Market cap (USD bn)	Price (RMB)	1W	1M	3M	6M	1Y	YTD
China Life	601628 CH	130.3	33.70	-5.9%	-3.0%	-21.8%	-28.1%	-14.3%	-25.9%
China Pacific	601601 CH	40.4	29.98	-8.8%	-11.5%	-26.5%	-27.0%	-13.0%	-28.5%
New China Life	601336 CH	24.3	57.55	-6.4%	-4.3%	-20.6%	-18.3%	+7.1%	-17.4%
PICC Group	601319 CH	40.6	6.65	-5.3%	-2.8%	-22.4%	-27.6%	-19.8%	-25.7%
Ping An	601318 CH	128.9	49.38	-8.6%	-7.0%	-17.5%	-25.5%	-0.8%	-25.4%
Weighted average				-7.1%	-5.4%	-20.8%	-26.3%	-8.5%	-25.4%
H-Share Brokers	Bloomberg ticker	Market cap (USD bn)	Price (HKD)	1W	1M	3M	6M	1Y	YTD
China Galaxy Securities	6881 HK	16.5	7.58	-3.7%	-3.9%	-18.3%	-26.4%	-3.9%	-24.4%
China Merchants Securities	6099 HK	23.1	16.70	+5.0%	+20.3%	+24.0%	+18.8%	+33.9%	+19.8%
China Securities	6066 HK	25.8	11.84	+0.1%	+5.2%	+3.2%	-8.0%	+24.6%	-7.8%
CICC	3908 HK	19.3	20.14	+2.7%	-0.8%	+8.5%	+3.6%	+23.3%	+2.9%
CITIC Securities	6030 HK	56.8	26.72	+2.1%	+3.7%	+4.0%	-1.4%	+27.9%	-0.7%
Everbright Securities	6178 HK	8.9	7.74	+1.8%	+0.0%	-5.5%	-15.0%	-5.0%	-12.9%
GF Securities	1776 HK	22.2	16.95	+2.7%	+4.1%	+8.0%	-6.6%	+38.6%	-3.7%
Guotai Haitong Securities	2611 HK	42.6	14.69	+0.5%	+11.1%	+4.3%	-7.7%	+30.2%	-9.1%
Huatai Securities	6886 HK	24.8	16.94	+0.1%	+7.3%	+4.1%	-12.0%	+16.7%	-10.0%
Orient Securities	3958 HK	10.9	5.72	-2.2%	-3.5%	-3.7%	-19.2%	+10.0%	-16.4%
Weighted average				+1.2%	+5.7%	+4.4%	-5.3%	+24.0%	-4.5%
A-share Brokers	Bloomberg ticker	Market cap (USD bn)	Price (RMB)	1W	1M	3M	6M	1Y	YTD
China Galaxy Securities	601881 CH	16.5	12.09	-2.5%	-1.6%	-14.4%	-23.7%	-25.5%	-23.1%
China Merchants Securities	600999 CH	23.1	18.58	+5.0%	+14.8%	+16.0%	+10.6%	+14.1%	+11.7%
China Securities	601066 CH	25.8	24.90	-2.2%	+12.7%	+7.7%	-6.1%	+6.7%	-6.4%
CICC	601995 CH	19.3	33.40	+1.8%	-0.5%	-2.2%	-7.5%	-2.7%	-4.6%
CITIC Securities	600030 CH	56.8	26.56	+1.0%	+3.2%	+3.9%	-4.4%	+4.3%	-5.0%
Everbright Securities	601788 CH	8.9	14.19	-0.7%	-4.3%	-12.2%	-18.9%	-18.3%	-19.1%
GF Securities	000776 CH	22.2	20.64	+2.8%	+4.9%	+6.0%	-4.5%	+27.4%	-6.3%
Guotai Haitong Securities	601211 CH	42.6	17.28	-2.3%	+11.8%	-3.2%	-16.8%	-4.3%	-15.9%
Huatai Securities	601688 CH	24.8	19.55	-2.1%	+6.4%	-0.9%	-14.8%	+16.8%	-17.1%
Orient Securities	600958 CH	10.9	9.21	-0.3%	-3.1%	-5.2%	-14.7%	-1.2%	-15.5%
Weighted average				+0.1%	+6.1%	+1.3%	-8.8%	+3.7%	-8.9%
Diversified Financials	Bloomberg ticker	Market cap (USD bn)	Price (HKD; USD)	1W	1M	3M	6M	1Y	YTD
Futu	FUTU US	13.5	96.64	+4.0%	-28.2%	-33.3%	-38.8%	-19.3%	-40.2%
Tiger Brokers	TIGR US	0.9	4.71	-2.5%	-23.5%	-36.7%	-45.8%	-44.0%	-50.7%
Qifu Technology	QFIN US	1.8	15.03	+1.3%	+17.5%	+10.4%	-15.7%	-61.7%	-17.3%
Lufax	LU US	1.2	1.35	+0.7%	-27.8%	-40.8%	-47.7%	-53.4%	-47.3%
FinVolution	FINV US	1.1	4.81	-1.6%	+1.5%	-17.2%	-0.5%	-44.8%	-2.2%
Lexin	LX US	0.3	2.00	-6.5%	+2.6%	-18.2%	-29.3%	-68.3%	-33.4%
HKEX	388 HK	60.6	374.80	-1.5%	-8.6%	-7.0%	-5.2%	-4.5%	-6.6%
East Money	300059 CH	43.5	18.60	+3.3%	-5.9%	-13.1%	-18.2%	-13.1%	-19.4%
Weighted average				+0.8%	-9.6%	-12.4%	-14.4%	-11.3%	-15.7%

Source: Bloomberg; as of June 18, except for ADRs which were as of June 17, four trading days for CN/HK this week

Exhibit 3: H-share banks' average share price hit historical peak level

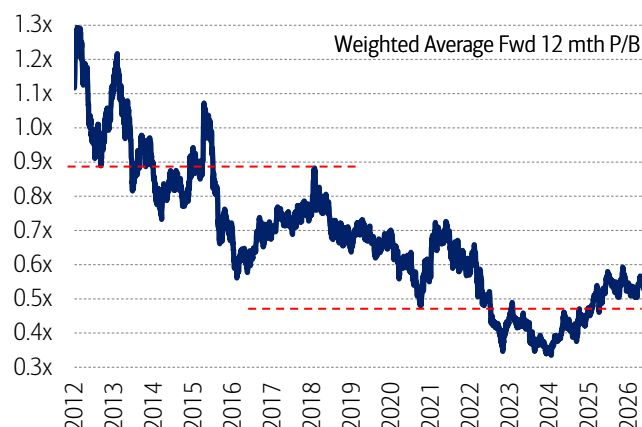
H-share banks' weighted-average stock price performance



Source: Bloomberg, share price here doesn't adjust for dividend; as of June 18; LT=Long Term
BofA GLOBAL RESEARCH

Exhibit 4: P/B declined from 0.57x to 0.54x WoW

H-share banks' forward P/B valuation since 2012



Source: Bloomberg, share price here doesn't adjust for dividend; as of June 18; LT=Long Term
BofA GLOBAL RESEARCH

A-H share premium**Exhibit 5: A-H share premium fluctuated by -7.9ppt to +1.4ppt WoW for our covered banks**

A-H share premium data for dual-listed banks

	ABC	BOC	BoComm	CCB	ICBC	PSBC	CEB	CMB	CNCB	MSB	CQRB	Average
Current	30.1%	27.0%	6.2%	33.2%	21.0%	13.7%	9.1%	-8.5%	15.8%	16.5%	15.2%	16.3%
WoW	-1.4ppt	-6.6ppt	-1.6ppt	-7.9ppt	-5.9ppt	-2.5ppt	-1.7ppt	-1.5ppt	-1.4ppt	-2.6ppt	-5.2ppt	-3.5ppt
YTD	-18.7ppt	-16.1ppt	-18.9ppt	-1.1ppt	-20.1ppt	-0.8ppt	+2.1ppt	+2.9ppt	-7.8ppt	+7.9ppt	-2.3ppt	-6.6ppt
vs 2025 avg	-3.0ppt	-10.1ppt	-12.3ppt	-2.5ppt	-18.6ppt	-2.3ppt	-11.0ppt	-5.0ppt	-8.0ppt	+3.0ppt	-6.4ppt	-6.9ppt

Source: Bloomberg, as of June 18. Share price here doesn't adjust for dividend.

BofA GLOBAL RESEARCH

Stock Connect Holdings**Exhibit 6: This week, southbound investors bought CQRB and ABC, sold StanChart and ICBC most**

Shanghai/Shenzhen-HK Stock Connect Holdings

Southbound holdings in H-share China banks and HK banks (% of HK shares)															
	ABC	BOC	BoComm	CCB	ICBC	PSBC	CEB	CMB	CNCB	MSB	CQRB	BOCHK	BEA	HSBC	StanChart
% stake	50.53%	34.60%	8.06%	15.10%	42.04%	30.51%	18.08%	31.70%	29.55%	29.16%	37.58%	3.95%	0.08%	8.92%	1.54%
WoW	+21bp	+9bp	+8bp	+3bp	-6bp	+1bp	+17bp	+3bp	+13bp	+3bp	+25bp	+13bp	+0bp	-3bp	-6bp
YTD	+361bp	+352bp	+70bp	+103bp	+199bp	-14bp	-52bp	+280bp	-31bp	+110bp	-174bp	+33bp	+6bp	-18bp	+8bp
Southbound holdings in H-share China banks and HK banks (% of total shares)															
	ABC	BOC	BoComm	CCB	ICBC	PSBC	CEB	CMB	CNCB	MSB	CQRB	BOCHK	BEA	HSBC	StanChart
% stake	4.44%	8.98%	3.19%	13.88%	10.24%	5.05%	3.88%	5.77%	7.90%	5.54%	8.32%	3.96%	0.09%	8.93%	1.54%
WoW	+2bp	+2bp	+3bp	+2bp	-2bp	+0bp	+4bp	+1bp	+3bp	+0bp	+5bp	+12bp	+0bp	-4bp	-7bp
YTD	+32bp	+92bp	+28bp	+95bp	+49bp	-2bp	-11bp	+51bp	-8bp	+21bp	-38bp	+34bp	+7bp	-17bp	+8bp

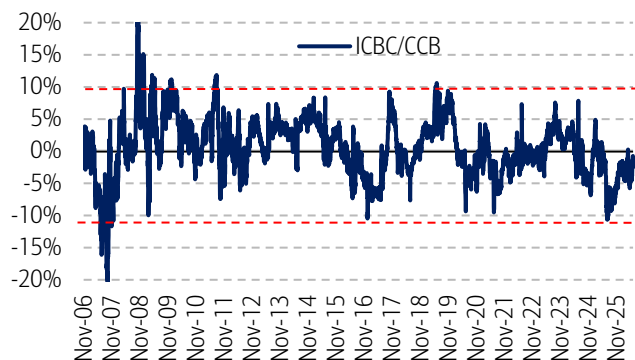
Source: Wind, as of June 17. Starting from 19 August 2024, Stock Connect Northbound Shareholding information will only be available on a quarterly basis.

BofA GLOBAL RESEARCH

Relative valuation

Exhibit 7: ICBC and CCB have been trading closely to each other historically

Relative P/B: ICBC's premium over CCB

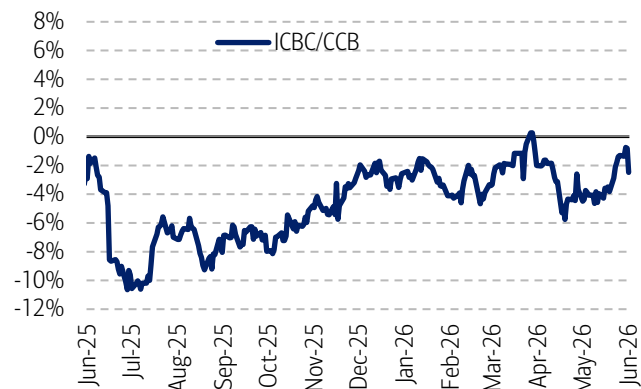


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 8: ICBC's discount to CCB enlarged from 1.4% to 2.5% WoW

Relative P/B: ICBC's premium over CCB (LTM)

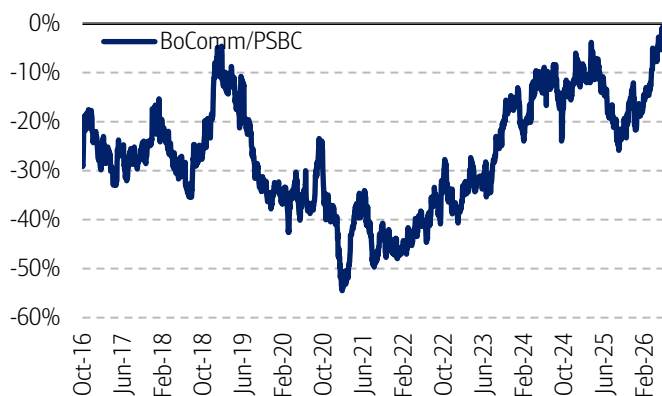


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 9: BoComm traded closely to PSBC with minor discount

Relative P/B: BoComm's discount to PSBC

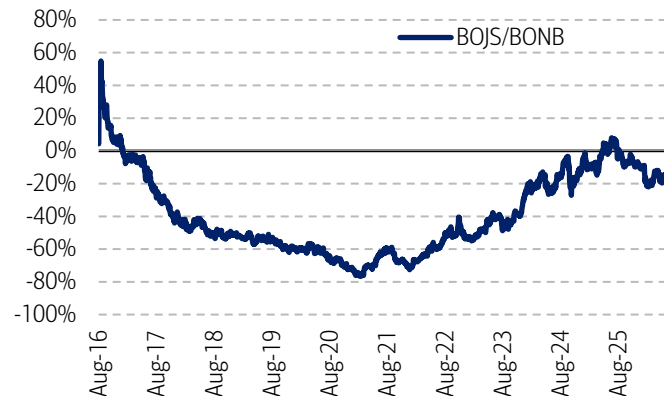


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 10: BOJS's discount to BONB was largely stable WoW

Relative P/B: BOJS's discount to BONB

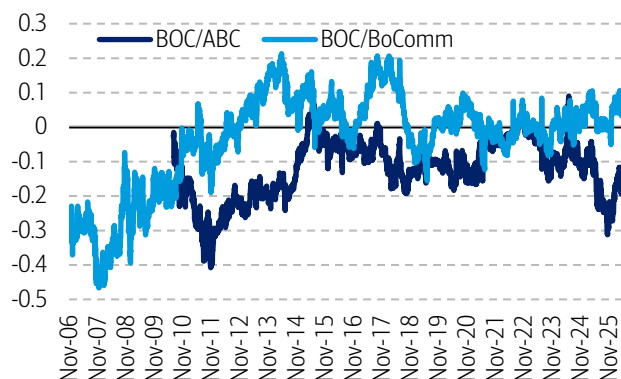


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 11: BOC's P/B was 9% lower than ABC and 7% higher than BoComm

Relative P/B: BOC's premium over ABC & BoComm

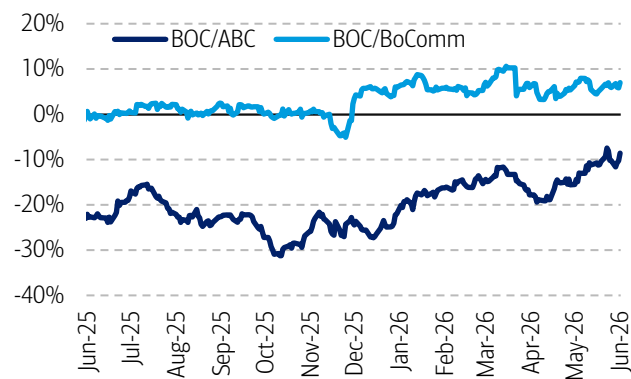


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 12: BOC's discount to ABC narrowed, premium over BoComm enlarged WoW

Relative P/B: BOC's premium over ABC & BoComm (LTM)

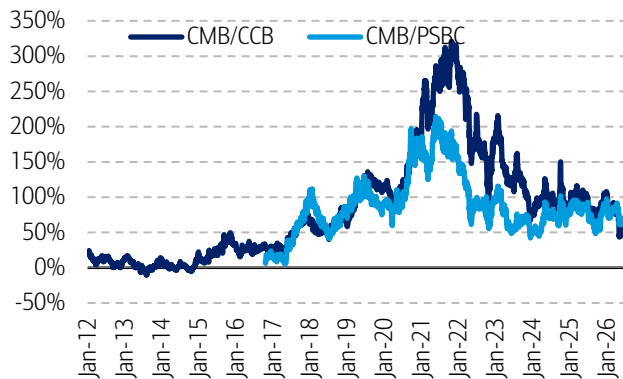


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 13: CMB's P/B was 52% and 68% higher than CCB and PSBC

Relative P/B: CMB's premium over CCB & PSBC

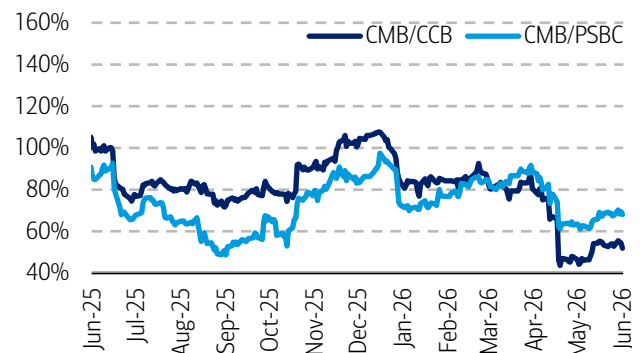


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 14: CMB's P/B premium over CCB narrowed, premium over PSBC enlarged WoW

Relative P/B: CMB's premium over CCB & PSBC (LTM)

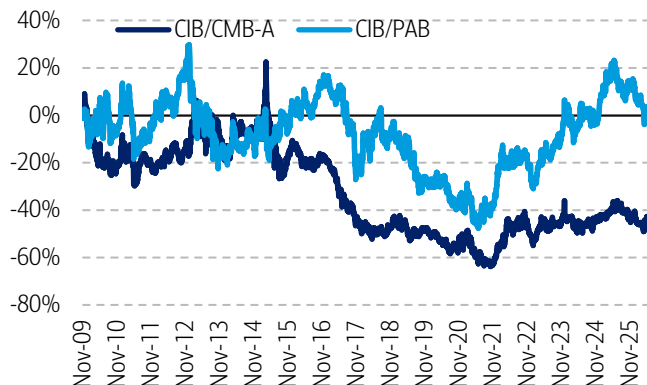


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 15: CIB's P/B was 45% lower than CMB-A's and 1% higher than PAB's

Relative P/B: CIB's discount to CMB-A & PAB

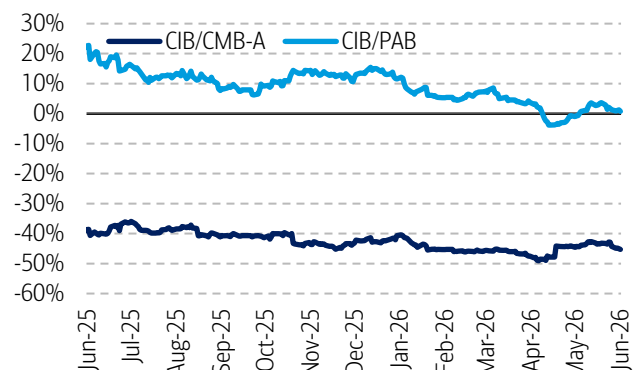


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 16: CIB's discount to CMB-A enlarged, premium over PAB narrowed WoW

Relative P/B: CIB's discount to CMB-A & PAB (LTM)

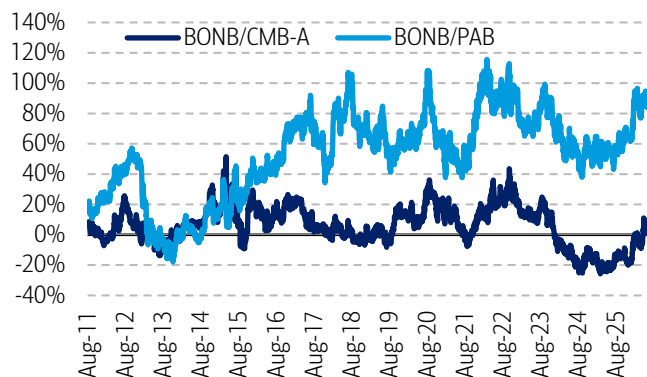


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 17: BONB's P/B was 5% higher and 94% higher than CMB-A and PAB

Relative P/B: BONB's premium over CMB-A & PAB

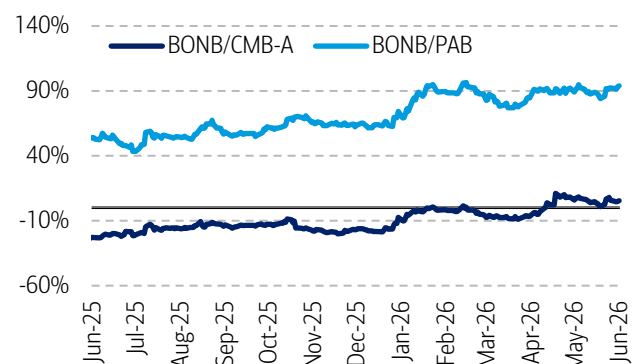


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 18: BONB's premium over CMB-A narrowed, premium over PAB enlarged WoW

Relative P/B: BONB's premium over CMB-A & PAB (LTM)

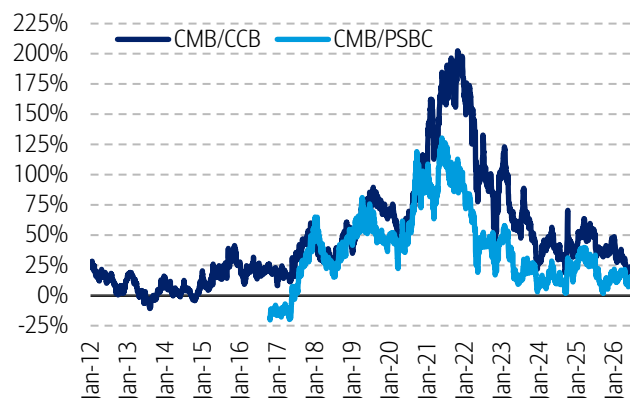


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 19: CMB's P/E was 21% and 14% higher than CCB and PSBC's

Relative P/E: CMB's premium over CCB & PSBC

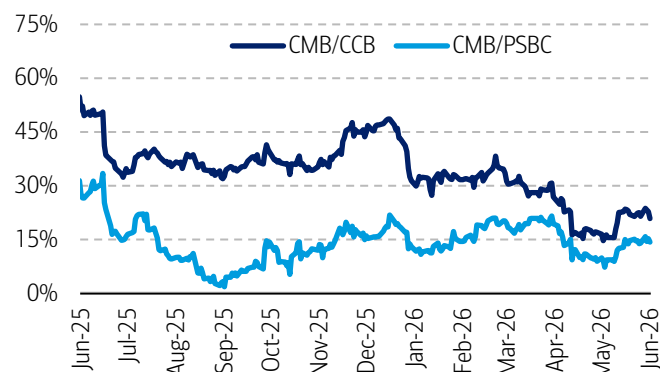


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 20: CMB's P/E premium over CCB narrowed, premium over PSBC unchanged WoW

Relative P/E: CMB's premium over CCB & PSBC (LTM)

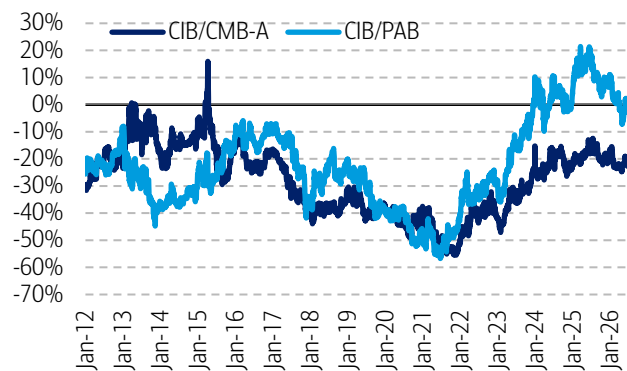


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 21: CIB's P/E was 23% and 1% lower than CMB-A's and PAB's

Relative P/E: CIB's discount to CMB-A and PAB

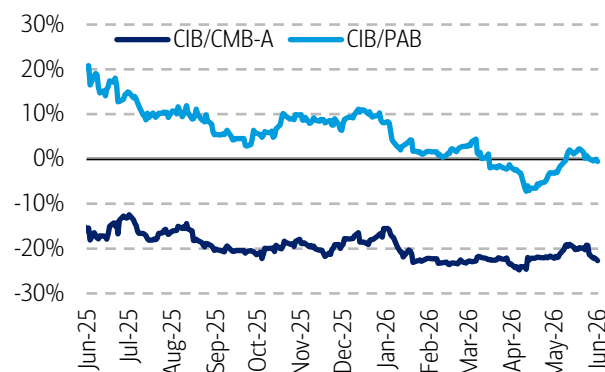


Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Exhibit 22: CIB's P/E discount to CMB-A and PAB both enlarged WoW

Relative P/E: CIB's discount to CMB-A and PAB (LTM)



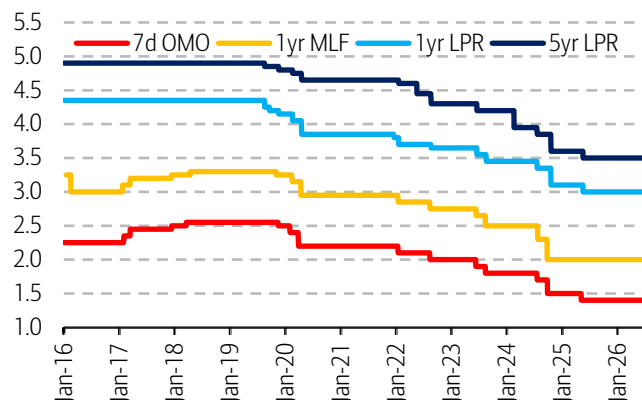
Source: Bloomberg, as of June 18, share price here doesn't adjust for dividend

BofA GLOBAL RESEARCH

Interest rates and NCDs

Exhibit 23: Major policy rate remained unchanged WoW

Major policy rate (%)

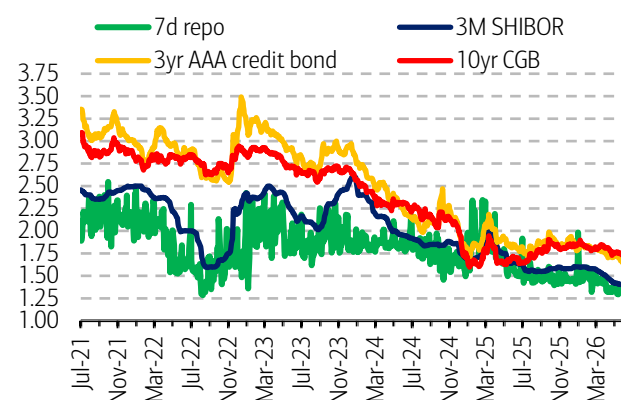


Source: Bloomberg, Wind, as of June 17

BofA GLOBAL RESEARCH

Exhibit 24: 3-year AAA credit bond yield increased 3bps WoW

Major policy rate (%)

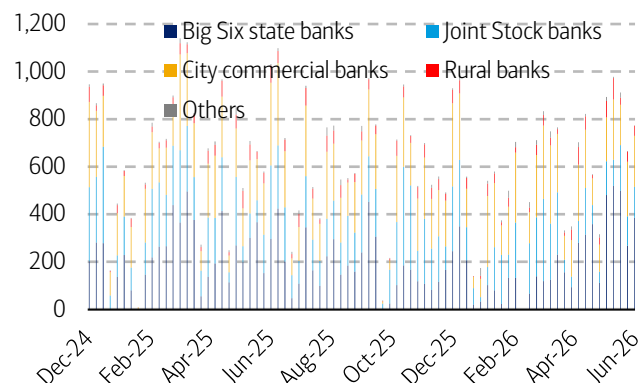


Source: Bloomberg, Wind, as of June 17, *CGB: China Government Bond

BofA GLOBAL RESEARCH

Exhibit 25: Gross issuance was RMB773bn from June 8 to June 14

Weekly NCD gross issuance by bank type (RMB bn)

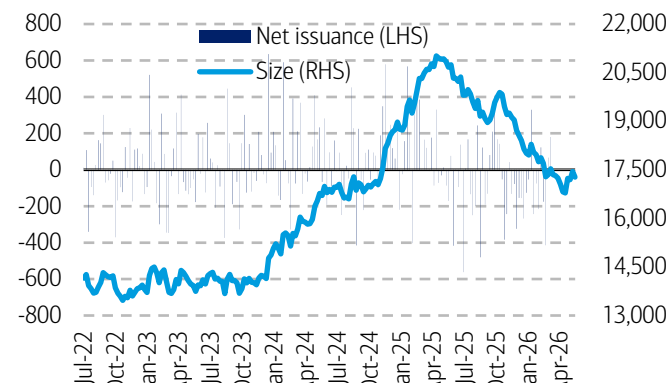


Source: Wind, as of June 14, *NCD: Negotiated Certificate of Deposits

BofA GLOBAL RESEARCH

Exhibit 26: NCD size decreased from RMB17.4tn to RMB17.3tn WoW

Weekly NCD net issuance and outstanding size (RMB bn)

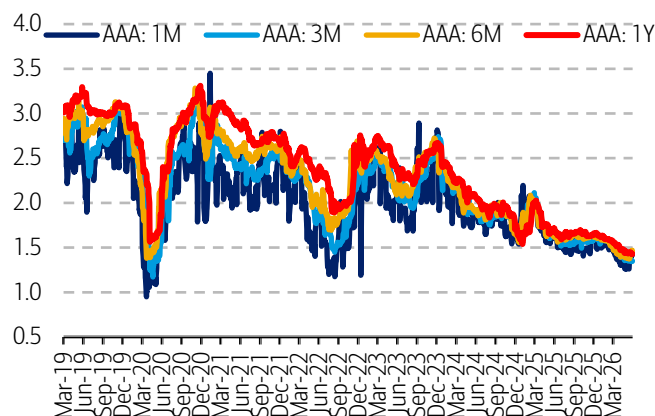


Source: Wind, as of June 14, *NCD: Negotiated Certificate of Deposits

BofA GLOBAL RESEARCH

Exhibit 27: AAA rated NCD yields rose by 1-4bps for 1M-1Y tenors WoW

Yield to maturities of AAA rated NCD (%)

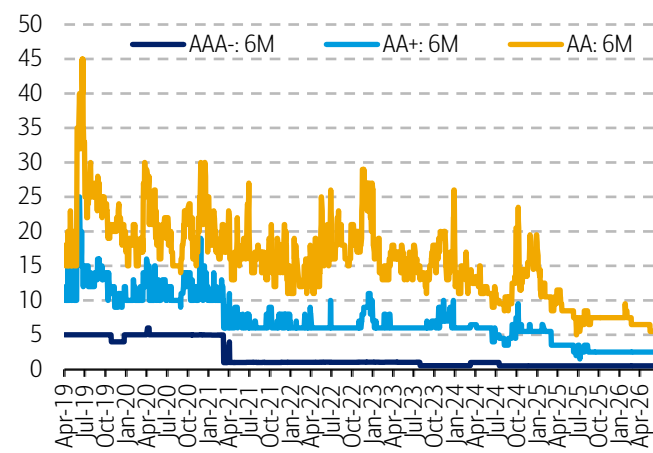


Source: CEIC, as of June 17, *NCD: Negotiated Certificate of Deposits

BofA GLOBAL RESEARCH

Exhibit 28: Credit spread over AA rated NCD remained stable WoW

Credit spread over AAA rated NCD (bp)



Source: CEIC, as of June 17, *NCD: Negotiated Certificate of Deposits

BofA GLOBAL RESEARCH

Convertible bond tracker

Exhibit 29: CSRB is close to mandatory CB conversion price

Share price vs. convertible bond mandatory conversion price

Bank	Maturity date	Current price	Current conversion price	Mandatory conversion price	Upside to reach conversion price	Upside to reach mandatory conversion price
CIB	12/27/2027	17.32	20.13	26.17	16.2%	51.1%
CSRB	9/15/2028	6.24	5.25	6.83	-15.9%	9.4%

Source: Wind, as of June 18, 2026

BofA GLOBAL RESEARCH

Ping An's holding in H-share banks

Exhibit 30: Ping An Asset Management bought ABC on May 20, 2026

Ping An Asset Management's purchase of H-share banks

Target	Date	% stake of H shares	% stake of total shares
ABC	1/3/2025	5.03%	0.44%
ABC	2/5/2025	6.08%	0.53%
ABC	2/13/2025	7.09%	0.62%
ABC	2/19/2025	8.06%	0.71%
ABC	2/27/2025	9.04%	0.79%
ABC	3/10/2025	10.04%	0.88%
ABC	3/20/2025	11.08%	0.97%
ABC	5/6/2025	12.05%	1.06%
ABC	5/14/2025	13.02%	1.14%
ABC	5/22/2025	14.11%	1.24%
ABC	6/5/2025	15.09%	1.33%
ABC	6/13/2025	16.00%	1.41%
ABC	8/18/2025	17.07%	1.50%
ABC	9/3/2025	18.00%	1.58%
ABC	9/25/2025	19.09%	1.68%
ABC	10/16/2025	20.01%	1.76%
ABC	10/28/2025	21.02%	1.85%
ABC	11/11/2025	22.05%	1.94%
ABC	12/9/2025	23.16%	2.03%
ABC	12/11/2025	24.01%	2.11%
ABC	12/22/2025	25.01%	2.20%
ABC	12/30/2025	26.11%	2.29%
ABC	4/22/2026	27.14%	2.38%
ABC	5/6/2026	28.03%	2.46%
ABC	5/20/2026	29.20%	2.56%
CCB	12/18/2024	5.01%	4.82%
CCB	5/6/2025	4.99%	4.80%
CMB	1/7/2025	5.00%	0.91%
CMB	2/6/2025	6.06%	1.10%
CMB	2/19/2025	7.03%	1.28%
CMB	2/27/2025	8.13%	1.48%
CMB	3/5/2025	9.01%	1.64%
CMB	3/12/2025	10.04%	1.83%
CMB	3/26/2025	11.53%	2.10%
CMB	5/6/2025	12.04%	2.19%
CMB	5/19/2025	13.17%	2.40%
CMB	5/30/2025	14.07%	2.56%
CMB	6/17/2025	15.12%	2.75%
CMB	7/28/2025	16.03%	2.92%
CMB	10/9/2025	17.05%	3.10%
CMB	10/21/2025	18.04%	3.28%
CMB	10/31/2025	19.01%	3.46%
CMB	11/17/2025	20.02%	3.64%
CMB	11/26/2025	21.13%	3.85%
CMB	12/9/2025	22.28%	4.06%
CMB	12/19/2025	23.09%	4.20%
CMB	12/30/2025	24.18%	4.40%
CMB	3/25/2026	25.03%	4.56%
ICBC	5/23/2024	14.00%	3.41%

Exhibit 30: Ping An Asset Management bought ABC on May 20, 2026

Ping An Asset Management's purchase of H-share banks

Target	Date	% stake of H shares	% stake of total shares
ICBC	7/30/2024	15.00%	3.65%
ICBC	12/13/2024	16.02%	3.90%
ICBC	1/10/2025	17.11%	4.17%
ICBC	1/20/2025	18.03%	4.39%
ICBC	2/12/2025	19.02%	4.63%
PSBC	12/24/2024	5.00%	1.00%
PSBC	2/6/2025	6.05%	1.21%
PSBC	2/19/2025	7.02%	1.41%
PSBC	3/5/2025	8.08%	1.62%
PSBC	3/18/2025	9.05%	1.81%
PSBC	5/6/2025	10.05%	2.01%
PSBC	5/20/2025	11.02%	2.21%
PSBC	6/9/2025	12.00%	2.40%
PSBC	6/25/2025	13.02%	2.61%
PSBC	7/15/2025	14.05%	2.81%
PSBC	7/31/2025	15.06%	3.02%
PSBC	8/25/2025	16.01%	3.21%
PSBC	9/30/2025	17.03%	3.41%

Source: HKEX

BofA GLOBAL RESEARCH

China CITIC Financial AMC's holding in H-share banks**Exhibit 31: China CITIC Financial AMC kept buying BOC-H shares until Sep 5, 2025**

China CITIC Financial AMC's purchase of H-share banks

Target	Date	% stake of H shares	% stake of total shares
BOC	6/30/2024	12.56%	3.57%
BOC	4/30/2025	13.11%	3.72%
BOC	5/15/2025	14.07%	4.00%
BOC	5/27/2025	15.17%	4.31%
BOC	6/5/2025	16.10%	4.57%
BOC	6/13/2025	17.32%	4.92%
BOC	6/27/2025	18.02%	5.12%
BOC	9/5/2025	19.00%	5.40%
CNCB	6/23/2025	7.55%	2.02%
CEB	11/25/2025	10.04%	2.15%

Source: HKEX

BofA GLOBAL RESEARCH

Ex dividend schedule**Exhibit 32: China banks ex dividend schedule**

ABC and ICBC's ex-dividend dates moved earlier this year alongside capital injection scheduling.

	2H25 DPS (RMB)	H-share			A-share		
		Dividend yield	Ex-date	Pay-date	Dividend yield	Ex-date	Pay-date
ABC	0.13	2.66%	5/4/2026	6/16/2026	2.04%	5/13/2026	5/13/2026
BOC	0.12	2.57%	7/2/2026	8/19/2026	2.02%	7/10/2026	7/10/2026
BoComm	0.17	2.68%	7/2/2026	8/14/2026	2.52%	TBC	TBC
CCB	0.20	2.73%	7/2/2026	8/21/2026	2.05%	7/11/2026	7/11/2026
ICBC	0.17	2.86%	5/4/2026	6/16/2026	2.36%	5/13/2026	5/13/2026
PSBC	0.10	2.23%	7/3/2026	8/19/2026	1.96%	TBC	TBC
CEB	0.07	2.48%	7/2/2026	8/20/2026	2.27%	TBC	TBC
CMB	1.00	2.47%	7/2/2026	TBC	2.69%	TBC	TBC
CNCB	0.19	3.08%	5/18/2026	7/6/2026	2.65%	6/10/2026	6/10/2026
MSB	0.05	1.78%	6/22/2026	8/10/2026	1.52%	TBC	TBC
CIB	0.50				2.89%	6/12/2026	6/12/2026
SPDB	0.42				4.62%	TBC	TBC
PAB	0.36				3.42%	6/12/2026	6/12/2026

Exhibit 32: China banks ex dividend schedule

ABC and ICBC's ex-dividend dates moved earlier this year alongside capital injection scheduling.

	2H25 DPS (RMB)	H-share			A-share		
		Dividend yield	Ex-date	Pay-date	Dividend yield	Ex-date	Pay-date
BOCD	0.92				4.94%	TBC	TBC
BOHZ	0.28				1.79%	6/15/2026	6/15/2026
BOJS	0.23				2.08%	TBC	TBC
BONB	0.90				2.92%	TBC	TBC
BONJ	0.22				2.05%	6/15/2026	6/15/2026
BOSZ	0.15				1.94%	6/24/2026	6/24/2026
CQRB	0.12	2.17%	6/8/2026	7/27/2026	1.88%	6/16/2026	6/16/2026
CSRB	0.11				1.75%	6/9/2026	6/9/2026
SHRB	0.12				1.43%	TBC	TBC

Source: company reports, Bloomberg; as of June 18, *those who have distributed 1H25 dividend will only distribute 2H25 dividend this time. TBC = to be confirmed.

BofA GLOBAL RESEARCH

Bank abbreviations

ABC: Agricultural Bank of China
 BOC: Bank of China
 BoComm: Bank of Communications
 CCB: China Construction Bank
 ICBC: Industrial and Commercial Bank of China
 PSBC: Postal Savings Bank of China
 CEB: China Everbright Bank
 CMB: China Merchants Bank
 CNCB: China CITIC Bank
 MSB: China Minsheng Bank
 CIB: China Industrial Bank
 SPDB: Shanghai Pudong Development Bank
 PAB: Ping An Bank
 BOCD: Bank of Chengdu
 BOHZ: Bank of Hangzhou
 BOJS: Bank of Jiangsu
 BONB: Bank of Ningbo
 BONJ: Bank of Nanjing
 BOSZ: Bank of Suzhou
 CQRB: Chongqing Rural Commercial Bank
 CSRB: Changshu Rural Commercial Bank
 SHRB: Shanghai Rural Commercial Bank
 BEA: Bank of East Asia
 BOCHK: Bank of China (Hong Kong) Limited
 StanChart: Standard Chartered

Disclosures

Important Disclosures

BofA Global Research personnel (including the analyst(s) responsible for this report) receive compensation based upon, among other factors, the overall profitability of Bank of America Corporation, including profits derived from investment banking. The analyst(s) responsible for this report may also receive compensation based upon, among other factors, the overall profitability of the Bank's sales and trading businesses relating to the class of securities or financial instruments for which such analyst is responsible.

Other Important Disclosures

From time to time research analysts conduct site visits of covered issuers. BofA Global Research policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits.

Prices are indicative and for information purposes only. Except as otherwise stated in the report, for any recommendation in relation to an equity security, the price referenced is the publicly traded price of the security as of close of business on the day prior to the date of the report or, if the report is published during intraday trading, the price referenced is indicative of the traded price as of the date and time of the report and in relation to a debt security (including equity preferred and CDS), prices are indicative as of the date and time of the report and are from various sources including BofA Securities trading desks.

The date and time of completion of the production of any recommendation in this report shall be the date and time of dissemination of this report as recorded in the report timestamp.

Recipients who are not institutional investors or market professionals should seek the advice of their independent financial advisor before considering information in this report in connection with any investment decision, or for a necessary explanation of its contents.

Officers of BofA or one or more of its affiliates (other than research analysts) may have a financial interest in securities of the issuer(s) or in related investments.

Refer to [BofA Global Research policies relating to conflicts of interest](#).

'BofA Securities' includes BofA Securities, Inc. ('BofAS') and its affiliates. Investors should contact their BofA Securities representative or Merrill Global Wealth Management financial advisor if they have questions concerning this report or concerning the appropriateness of any investment idea described herein for such investor. 'BofA Securities' is a global brand for BofA Global Research.

Information relating to Non-US affiliates of BofA Securities and Distribution of Affiliate Research Reports:

BofAS and/or Merrill Lynch, Pierce, Fenner & Smith Incorporated ('MLPF&S') may in the future distribute, information of the following non-US affiliates in the US (short name: legal name, regulator): Merrill Lynch (South Africa): Merrill Lynch South Africa (Pty) Ltd., regulated by the Financial Sector Conduct Authority; MLI (UK): Merrill Lynch International, regulated by the Financial Conduct Authority (FCA) and the Prudential Regulation Authority (PRA); BofASE (France): BofA Securities Europe SA is authorized by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers (AMF). BofA Securities Europe SA ('BofASE') with registered address at 51, rue La Boétie, 75008 Paris is registered under no 842 602 690 RCS Paris. In accordance with the provisions of French Code Monétaire et Financier (Monetary and Financial Code), BofASE is an établissement de crédit et d'investissement (credit and investment institution) that is authorised and supervised by the European Central Bank and the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers. BofASE's share capital can be found at www.bofam.com/BofASEdisclaimer; BofA Europe (Milan): Bank of America Europe Designated Activity Company, Milan Branch, regulated by the Bank of Italy, the European Central Bank (ECB) and the Central Bank of Ireland (CBI); BofA Europe (Frankfurt): Bank of America Europe Designated Activity Company, Frankfurt Branch regulated by BaFin, the ECB and the CBI; BofA Europe (Zurich): Bank of America Europe Designated Activity Company, Zurich Branch, regulated by the Swiss Financial Market Supervisory Authority FINMA, the ECB and CBI; BofA Europe (Madrid): Bank of America Europe Designated Activity Company, Sucursal en España, regulated by the Bank of Spain, the ECB and the CBI; Merrill Lynch (Australia): Merrill Lynch Equities (Australia) Limited, regulated by the Australian Securities and Investments Commission; Merrill Lynch (Hong Kong): Merrill Lynch (Asia Pacific) Limited, regulated by the Hong Kong Securities and Futures Commission (HKSF); Merrill Lynch (Singapore): Merrill Lynch (Singapore) Pte Ltd, regulated by the Monetary Authority of Singapore (MAS); Merrill Lynch (Canada): Merrill Lynch Canada Inc, regulated by the Canadian Investment Regulatory Organization; Merrill Lynch (Mexico): Merrill Lynch Mexico, SA de CV, Casa de Bolsa, regulated by the Comisión Nacional Bancaria y de Valores; BofAS Japan: BofA Securities Japan Co., Ltd., regulated by the Financial Services Agency; Merrill Lynch (Seoul): Merrill Lynch International, LLC Seoul Branch, regulated by the Financial Supervisory Service; Merrill Lynch (Taiwan): Merrill Lynch Securities (Taiwan) Ltd., regulated by the Securities and Futures Bureau; BofAS India: BofA Securities India Limited, regulated by the Securities and Exchange Board of India (SEBI); Merrill Lynch (Israel): Merrill Lynch Israel Limited, regulated by Israel Securities Authority; Merrill Lynch (DIFC): Merrill Lynch International (DIFC Branch), regulated by the Dubai Financial Services Authority (DFSA); Merrill Lynch (Brazil): Merrill Lynch S.A. Corretora de Títulos e Valores Mobiliários, regulated by Comissão de Valores Mobiliários; Merrill Lynch KSA Company: Merrill Lynch Kingdom of Saudi Arabia Company, regulated by the Capital Market Authority. This information has been approved for publication and is distributed in the United Kingdom (UK) to professional clients and eligible counterparties (as each is defined in the rules of the FCA and the PRA) by MLI (UK), which is authorized by the PRA and regulated by the FCA and the PRA - details about the extent of our regulation by the FCA and PRA are available from us on request; has been approved for publication and is distributed in the European Economic Area (EEA) by BofASE (France), which is authorized by the ACPR and regulated by the ACPR and the AMF; has been considered and distributed in Japan by BofAS Japan, a registered securities dealer under the Financial Instruments and Exchange Act in Japan, or its permitted affiliates; is issued and distributed in Hong Kong by Merrill Lynch (Hong Kong) which is regulated by HKSF; is issued and distributed in Taiwan by Merrill Lynch (Taiwan); is issued and distributed in India by BofAS India; and is issued and distributed in Singapore to institutional investors and/or accredited investors (each as defined under the Financial Advisers Regulations) by Merrill Lynch (Singapore) (Company Registration No 198602883D). Merrill Lynch (Singapore) is regulated by MAS. Merrill Lynch Equities (Australia) Limited (ABN 65 006 276 795), AFS License 235132 (MLEA) distributes this information in Australia only to 'Wholesale' clients as defined by s.761G of the Corporations Act 2001. With the exception of Bank of America N.A., Australia Branch, neither MLEA nor any of its affiliates involved in preparing this information is an Authorised Deposit-Taking Institution under the Banking Act 1959 nor regulated by the Australian Prudential Regulation Authority. No approval is required for publication or distribution of this information in Brazil and its local distribution is by Merrill Lynch (Brazil) in accordance with applicable regulations. Merrill Lynch (DIFC) is authorized and regulated by the DFSA. Information prepared and issued by Merrill Lynch (DIFC) is done so in accordance with the requirements of the DFSA conduct of business rules. BofA Europe (Frankfurt) distributes this information in Germany and is regulated by BaFin, the ECB and the CBI. BofA Securities entities, including BofA Europe and BofASE (France), may outsource/delegate the marketing and/or provision of certain research services or aspects of research services to other branches or members of the BofA Securities group. You may be contacted by a different BofA Securities entity acting for and on behalf of your service provider where permitted by applicable law. This does not change your service provider. Please refer to the [Electronic Communications Disclaimers](#) for further information.

This information has been prepared and issued by BofAS and/or one or more of its non-US affiliates. The author(s) of this information may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so. BofAS and/or MLPF&S is the distributor of this information in the US and accepts full responsibility for information distributed to BofAS and/or MLPF&S clients in the US by its non-US affiliates. Any US person receiving this information and wishing to effect any transaction in any security discussed herein should do so through BofAS and/or MLPF&S and not such foreign affiliates. Hong Kong recipients of this information should contact Merrill Lynch (Asia Pacific) Limited in respect of any matters relating to dealing in securities or provision of specific advice on securities or any other matters arising from, or in connection with, this information. Singapore recipients of this information should contact Merrill Lynch (Singapore) Pte Ltd in respect of any matters arising from, or in connection with, this information. For clients that are not accredited investors, expert investors or institutional investors Merrill Lynch (Singapore) Pte Ltd accepts full responsibility for the contents of this information distributed to such clients in Singapore.

General Investment Related Disclosures:

Taiwan Readers: Neither the information nor any opinion expressed herein constitutes an offer or a solicitation of an offer to transact in any securities or other financial instrument. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or any other person without the express written consent of BofA Securities. This document provides general information only, and has been prepared for, and is intended for general distribution to, BofA Securities clients. Neither the information nor any opinion expressed constitutes an offer or an invitation to make an offer, to buy or sell any securities or other financial instrument or any derivative related to such securities or instruments (e.g., options, futures, warrants, and contracts for differences). This document is not intended to provide personal investment advice and it does not take into account the specific investment objectives,

financial situation and the particular needs of, and is not directed to, any specific person(s). This document and its content do not constitute, and should not be considered to constitute, investment advice for purposes of ERISA, the US tax code, the Investment Advisers Act or otherwise. Investors should seek financial advice regarding the appropriateness of investing in financial instruments and implementing investment strategies discussed or recommended in this document and should understand that statements regarding future prospects may not be realized. Any decision to purchase or subscribe for securities in any offering must be based solely on existing public information on such security or the information in the prospectus or other offering document issued in connection with such offering, and not on this document.

Securities and other financial instruments referred to herein, or recommended, offered or sold by BofA Securities, are not insured by the Federal Deposit Insurance Corporation and are not deposits or other obligations of any insured depository institution (including, Bank of America, N.A.). Investments in general and, derivatives, in particular, involve numerous risks, including, among others, market risk, counterparty default risk and liquidity risk. No security, financial instrument or derivative is suitable for all investors. Digital assets are extremely speculative, volatile and are largely unregulated. In some cases, securities and other financial instruments may be difficult to value or sell and reliable information about the value or risks related to the security or financial instrument may be difficult to obtain. Investors should note that income from such securities and other financial instruments, if any, may fluctuate and that price or value of such securities and instruments may rise or fall and, in some cases, investors may lose their entire principal investment. Past performance is not necessarily a guide to future performance. Levels and basis for taxation may change.

This report may contain a short-term trading idea or recommendation, which highlights a specific near-term catalyst or event impacting the issuer or the market that is anticipated to have a short-term price impact on the equity securities of the issuer. Short-term trading ideas and recommendations are different from and do not affect a stock's fundamental equity rating, which reflects both a longer term total return expectation and attractiveness for investment relative to other stocks within its Coverage Cluster. Short-term trading ideas and recommendations may be more or less positive than a stock's fundamental equity rating.

BofA Securities is aware that the implementation of the ideas expressed in this report may depend upon an investor's ability to "short" securities or other financial instruments and that such action may be limited by regulations prohibiting or restricting "shortselling" in many jurisdictions. Investors are urged to seek advice regarding the applicability of such regulations prior to executing any short idea contained in this report.

Foreign currency rates of exchange may adversely affect the value, price or income of any security or financial instrument mentioned herein. Investors in such securities and instruments, including ADRs, effectively assume currency risk.

BofAS or one of its affiliates is a regular issuer of traded financial instruments linked to securities that may have been recommended in this report. BofAS or one of its affiliates may, at any time, hold a trading position (long or short) in the securities and financial instruments discussed in this report.

BofA Securities, through business units other than BofA Global Research, may have issued and may in the future issue trading ideas or recommendations that are inconsistent with, and reach different conclusions from, the information presented herein. Such ideas or recommendations may reflect different time frames, assumptions, views and analytical methods of the persons who prepared them, and BofA Securities is under no obligation to ensure that such other trading ideas or recommendations are brought to the attention of any recipient of this information.

In the event that the recipient received this information pursuant to a contract between the recipient and BofAS for the provision of research services for a separate fee, and in connection therewith BofAS may be deemed to be acting as an investment adviser, such status relates, if at all, solely to the person with whom BofAS has contracted directly and does not extend beyond the delivery of this report (unless otherwise agreed specifically in writing by BofAS). If such recipient uses the services of BofAS in connection with the sale or purchase of a security referred to herein, BofAS may act as principal for its own account or as agent for another person. BofAS is and continues to act solely as a broker-dealer in connection with the execution of any transactions, including transactions in any securities referred to herein.

Copyright and General Information:

Copyright 2026 Bank of America Corporation. All rights reserved. iQDatabase® is a registered service mark of Bank of America Corporation. This information is prepared for the use of BofA Securities clients and may not be redistributed, retransmitted or disclosed, in whole or in part, or in any form or manner, without the express written consent of BofA Securities. This document and its content is provided solely for informational purposes and cannot be used for training or developing artificial intelligence (AI) models or as an input in any AI application (collectively, an AI tool). Any attempt to utilize this document or any of its content in connection with an AI tool without explicit written permission from BofA Global Research is strictly prohibited. BofA Global Research utilizes AI, including machine learning and other technologies, to enhance the services we provide to our clients. These technologies assist our analysts in various aspects of their work, including but not limited to data analysis, content extraction, content creation, data aggregation and summarization and identifying relevant information from diverse sources. All AI-driven processes are subject to review by BofA Global Research employees. BofA Global Research information is distributed simultaneously to internal and client websites and other portals by BofA Securities and is not publicly-available material. Any unauthorized use or disclosure is prohibited. Receipt and review of this information constitutes your agreement not to redistribute, retransmit, or disclose to others the contents, opinions, conclusion, or information contained herein (including any investment recommendations, estimates or price targets) without first obtaining express permission from an authorized officer of BofA Securities.

Materials prepared by BofA Global Research personnel are based on public information. Facts and views presented in this material have not been reviewed by, and may not reflect information known to, professionals in other business areas of BofA Securities, including investment banking personnel. BofA Securities has established information barriers between BofA Global Research and certain business groups. As a result, BofA Securities does not disclose certain client relationships with, or compensation received from, such issuers. To the extent this material discusses any legal proceeding or issues, it has not been prepared as nor is it intended to express any legal conclusion, opinion or advice. Investors should consult their own legal advisers as to issues of law relating to the subject matter of this material. BofA Global Research personnel's knowledge of legal proceedings in which any BofA Securities entity and/or its directors, officers and employees may be plaintiffs, defendants, co-defendants or co-plaintiffs with or involving issuers mentioned in this material is based on public information. Facts and views presented in this material that relate to any such proceedings have not been reviewed by, discussed with, and may not reflect information known to, professionals in other business areas of BofA Securities in connection with the legal proceedings or matters relevant to such proceedings.

This information has been prepared independently of any issuer of securities mentioned herein and not in connection with any proposed offering of securities or as agent of any issuer of any securities. None of BofAS or any of its affiliates or their research analysts has any authority whatsoever to make any representation or warranty on behalf of the issuer(s). BofA Global Research policy prohibits research personnel from disclosing a recommendation, investment rating, or investment thesis for review by an issuer prior to the publication of a research report containing such rating, recommendation or investment thesis.

Any information relating to sustainability in this material is limited as discussed herein and is not intended to provide a comprehensive view on any sustainability claim with respect to any issuer or security.

Any information relating to the tax status of financial instruments discussed herein is not intended to provide tax advice or to be used by anyone to provide tax advice. Investors are urged to seek tax advice based on their particular circumstances from an independent tax professional.

The information herein (other than disclosure information relating to BofA Securities and its affiliates) was obtained from various sources and we do not guarantee its accuracy. This information may contain links to third-party websites. BofA Securities is not responsible for the content of any third-party website or any linked content contained in a third-party website. Content contained on such third-party websites is not part of this information and is not incorporated by reference. The inclusion of a link does not imply any endorsement by or any affiliation with BofA Securities. Access to any third-party website is at your own risk, and you should always review the terms and privacy policies at third-party websites before submitting any personal information to them. BofA Securities is not responsible for such terms and privacy policies and expressly disclaims any liability for them.

All opinions, projections and estimates constitute the judgment of the author as of the date of publication and are subject to change without notice. Prices also are subject to change without notice. BofA Securities is under no obligation to update this information and BofA Securities ability to publish information on the subject issuer(s) in the future is subject to applicable quiet periods. You should therefore assume that BofA Securities will not update any fact, circumstance or opinion contained herein.

Certain outstanding reports or investment opinions relating to securities, financial instruments and/or issuers may no longer be current. Always refer to the most recent research report relating to an issuer prior to making an investment decision.

In some cases, an issuer may be classified as Restricted or may be Under Review or Extended Review. In each case, investors should consider any investment opinion relating to such issuer (or its security and/or financial instruments) to be suspended or withdrawn and should not rely on the analyses and investment opinion(s) pertaining to such issuer (or its securities and/or financial instruments) nor should the analyses or opinion(s) be considered a solicitation of any kind. Sales persons and financial advisors affiliated with BofAS or any of its affiliates may not solicit purchases of securities or financial instruments that are Restricted or Under Review and may only solicit securities under Extended Review in accordance with firm policies.

Neither BofA Securities nor any officer or employee of BofA Securities accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this information.